

Agent Appointment and Errors & Omissions Reference

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Audience: Appointed agents and producers

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This document extends the Producer Manual Excerpt with appointment and errors-and-omissions (E&O) reference material.

1. Appointment Requirements

A producer must hold a current Ohio resident or non-resident insurance license in the property and casualty line, complete Meridian Mutual's product-specific appointment training covering this Personal Auto line's coverage structure and binding authority limits, and maintain errors-and-omissions insurance meeting the minimum limits stated in the appointment agreement.

2. Scope of Appointment

An appointment authorizes a producer to solicit, quote, and bind Personal Auto business within the binding authority described in the Producer Manual Excerpt. Appointment does not itself authorize claims handling of any kind — a producer who receives a claim report from a policyholder is expected to relay it to Meridian Mutual claims intake promptly, not to adjudicate or promise an outcome.

3. Common E&O Exposure Areas

The most frequent sources of producer E&O claims in this line are: binding a risk outside binding authority without underwriter referral (Producer Manual Excerpt, Section 3), failing to timely process a requested mid-term change (Underwriting Guidelines, Section 5), and providing a policyholder with an incorrect statement about coverage that contradicts the actual Policy Wording. This corpus's citation-based adjudication approach — always tracing a coverage statement to the specific Policy Wording section — is a direct mitigation for the third category.

4. Producer Statements About Coverage

A producer may summarize coverage in plain language when assisting a policyholder, but should not represent that a specific claim will be covered — that determination is made through the adjudication process described in the Claims Adjudication Guidelines, using the facts of the actual loss, which a producer at the point of sale cannot know in advance.

5. Appointment Termination

An appointment may be terminated by either party with 30 days' written notice, or immediately for cause (license suspension, appointment training lapse, or a pattern of binding-authority violations). Termination does not affect coverage already bound under policies the producer wrote while appointed.

6. Annual Recertification

A producer must complete annual recertification training reflecting any Policy Form changes (for example, the substantive differences between PAP-2024-STD and PAP-2025-STD summarized in the Policy Form Version Comparison) to remain appointed, ensuring producers are not quoting or explaining coverage based on an outdated form edition.

7. Complaint Referrals Involving a Producer

A policyholder complaint alleging producer misconduct (as opposed to a claims-handling complaint under the Complaint Handling Procedure) is routed to agency management for review, while any coverage or claims-handling component of the same complaint still follows the standard Complaint Handling Procedure independently.